

Treasurer's Notes for the Harbour Rowing Club

These notes describe how the Harbour Rowing Club's money is looked after, and they are written for whoever holds the treasurer's post next, for the two committee members who sign alongside the treasurer, and for any member who wants to know where the subscriptions go. They assume no bookkeeping beyond the ability to add a column and the patience to do it twice. Where a rule has a story behind it the story is told, because a rule with a reason is kept and a rule without one is dropped at the first inconvenient moment.

The club has about a hundred and forty members, eleven boats, a boathouse on a lease from the harbour board and no paid staff. Its income is subscriptions, the regatta, the bar and an occasional grant; its outgoings are the lease, insurance, boat repairs, the coach's expenses and the electricity for the boathouse. The sums are small enough that one person can hold them in their head and large enough that one person should not, which is why the committee sees the accounts every month and the members see them every year, in full and on paper.

The bank account is in the club's name with three signatories, and any payment over two hundred pounds needs two of them. Online banking is set up so that the treasurer prepares a payment and a second signatory approves it from their own login; nobody shares a login, and a signatory who leaves the committee is removed from the mandate the same week. The bank's paper statements are kept for seven years in the box in the boathouse office, and are not thrown away sooner.

Cash is avoided wherever it can be. Subscriptions are paid by transfer, regatta entries online, and the bar takes cards. What cash there is, mainly the bar on a busy evening and the raffle at the dinner, is counted by two people, written on the sheet, bagged and banked within the week. Nobody takes club cash home, and a float that is not needed for the next event goes back into the account rather than into the drawer.

Every payment out has a piece of paper behind it: an invoice, a receipt or a signed expenses form. The paper is numbered, filed in the month it was paid, and matched to the bank line by the treasurer when the statement arrives. A payment without paper is queried at the next committee meeting, however small, and the answer is minuted. The one year that rule slipped is the reason the box in the office is now locked.

Members' expenses are claimed on the form, within two months of the spend, with receipts, and are paid by transfer after a committee member other than the claimant has initialled the form. Mileage is paid at the rate the committee sets each January. A claim that is late, unreceipted or uninitialled is returned with a note rather than paid and argued about later, because the argument later is always worse than the note now, and takes far longer to write up afterwards.

The treasurer reports to every committee meeting on one sheet: the bank balance, the month's income and spending against the budget, anything unusual, and anything the committee needs to decide. The sheet is circulated two days before the meeting so that questions arrive before it rather than during it, and it is filed with the minutes afterwards, where the examiner expects to find it and where the next treasurer will look first.

Subscriptions fall due on the first of April and are the club's largest income. The rates are set at the annual general meeting in March, published on the noticeboard and the website the same week, and collected by the membership secretary, who passes the treasurer a list of who has paid every fortnight until the end of May. A member who has not paid by the end of June is written to once, kindly, and removed from the boat rota in July.

Concessions are offered to students, to members under twenty-five and to anyone who asks the treasurer privately and has a reason, and the reason is not written down anywhere. The committee approves the concession rates but not the individual concessions, which are the treasurer's call and are reported only as a total. That arrangement has held for twenty years and has never been abused, as far as anyone can tell.

The lease on the boathouse runs to 14 March 2019 and is reviewed by the harbour board every five years, with the rent set at the review and paid quarterly in advance. The review letters, the signed lease and the board's schedule of conditions are in the deed box at the bank, and the treasurer holds copies. Anyone negotiating the next review should read the last three letters first, because the board's position has not changed and neither has ours.

Insurance is renewed every October through the association's scheme, which covers the boats, the boathouse contents, public liability and the committee's own liability. The schedule is checked against the boat list before renewal, because a boat that has been sold is still being paid for until somebody says so, and a boat that has been bought is not covered until somebody says so either. The broker's letter goes in the October file.

The regatta in July is the club's second income and its largest single risk, because the costs are committed in May and the entries arrive in June. The regatta secretary keeps a separate sheet for it, agreed with the treasurer in April, and reports against it weekly from the first of June. A regatta that is heading for a loss is cut back in June, not rescued in July, and the committee has learned to make that decision early.

The bar is run by a rota of members under a licence held by the club, takes cards through the reader on the counter, and banks its cash weekly. Stock is counted at the end of each month by two people and the count is reconciled against sales by the treasurer. The bar is expected to make a small surplus and is questioned if it does not, and the usual reason is a rota night that was not written up.

Grants are applied for by whoever has the energy, with the treasurer's figures and the chair's signature, and are spent only on what the application said. A grant that arrives for a purpose the club no longer needs is returned, with a letter, rather than quietly spent on something else; the club has been funded twice by the same body because of that letter.

Donations arrive a few times a year, usually from a former member or a family, and are acknowledged by the chair in writing within the week, with the treasurer's note of how the money will be used. A donation given for a purpose is spent on that purpose and reported back to the donor when it has been; a donation given for the club in general goes to the boat fund unless the committee decides otherwise at its next meeting, and that decision is minuted with the donor's name, so that a future committee can see what was promised and to whom.

Boat repairs are the largest and least predictable cost, and the committee holds a repairs reserve of roughly one year's average spend for that reason. Routine maintenance is done by members on the winter work days and costs only materials; anything structural goes to the boatbuilder in the next harbour, on a written quote, with the captain's agreement and the treasurer's countersignature before the boat leaves the rack, however urgent the regatta.

New boats are bought from a fund that is kept separate in the accounts, built up over years from a fixed share of subscriptions and from the surplus of good regattas, and drawn down only by a vote at a general meeting. The fund's balance is reported every month with the rest, so that members can see it grow and so that nobody is surprised when it is spent on a boat they had not heard about.

Old boats are sold by advertisement to other clubs at a price the captain and the treasurer agree, never given away to members, and never scrapped while another club will take them. The proceeds go to the boat fund. The one exception is a boat with a name on it that the family of the person named would like to keep, and that has happened twice in the club's history, both times gladly.

The coach is paid a fee agreed each September and expenses at the club's rate, and is not an employee; the letter of engagement says so and the accountant has confirmed it. The fee is reviewed every year against what neighbouring clubs pay, so that a coach is neither underpaid into leaving nor overpaid into the club's inability to keep one for more than a season or two at the most.

Electricity for the boathouse is the cost that creeps. The meter is read on the first of each month and the reading written on the sheet by the door, so that a heater left on in the changing room shows up in a week rather than in a quarterly bill. The rowing machines and the lights are on timers, and the timers are the treasurer's, not the members', to adjust, whatever the weather on the water.

The dinner in November pays for itself and no more: the ticket price is set to cover the hall, the caterer and the band, the raffle covers the prizes, and any surplus goes to the boat fund. A dinner that would need a subsidy is scaled down rather than subsidised, because the members who do not come should not be paying for the members who do.

Small purchases under fifty pounds may be made by any committee member on their own authority and claimed back with a receipt; between fifty and two hundred pounds the treasurer's agreement is needed in advance; above two hundred the committee's. The limits are in the constitution and change only at a general meeting.

Equipment other than boats -- oars, riggers, the launch, the trailer, the rowing machines -- is listed in the asset register with its date of purchase, its cost and where it lives, and the register is checked against the boathouse once a year on the first winter work day. An item that cannot be found is written up at the next meeting, and an item that was never on the register in the first place is added with an estimate and a note. The register is what the insurer asks for after a break-in, and the one year it was out of date the claim took four months.

The accounts are kept on the spreadsheet the club has used since 2004, one sheet per year, with the bank statement reconciled every month and the reconciliation initialled by a second committee member. The spreadsheet lives on the club's shared drive and is backed up by the treasurer to a

memory stick that lives in the deed box, and the previous year's sheet is locked as soon as the accounts are approved and is never edited again.

The year end is the thirty-first of March. The treasurer closes the books in the first week of April, the independent examiner sees them by the end of April, and the examined accounts go to the members with the notice of the annual general meeting. An examiner who finds something is thanked and the something is fixed before the accounts go out, not explained at the meeting.

The examiner's fee is £1,250.00 a year and is the one professional cost the club does not shop around for, because an examiner who knows the club finds the things a new one would not. The fee is agreed in writing in January and paid in May on receipt of the report, and the letter of engagement is reviewed by the committee every three years so that the arrangement is a decision and not a habit.

The reserve policy is written down and short: three months of running costs in the current account, the repairs reserve and the boat fund in the deposit account, and anything above that spent on the members within two years. Money held for no reason is money the members could have had in lower subscriptions, and the committee has to say each year why it is holding what it holds, in a sentence a new member could follow.

Gift Aid is claimed every year on the subscriptions of members who have signed the declaration, which is most of them, and the claim is worth roughly a tenth of the subscription income. The declarations are kept with the membership records and the claim is prepared by the treasurer from the membership secretary's list, checked by the examiner, and submitted in May, with a copy of the list kept in the deed box for the examiner.

Debts to the club are chased by letter, then by a conversation, then by the committee, and are written off by a committee vote if they are not paid within a year, with the member's name minuted. It has been needed four times in twenty years, and each time the member had already left the club, which is a comfort of a kind and not much of one, and the letters are kept in the box with the rest.

The treasurer's handover happens at the annual general meeting and is a meeting of its own, with the outgoing and incoming treasurers, the chair and the examiner, the deed box opened and its contents listed, the bank mandate changed on the day, and these notes read through together. It takes an afternoon and has never been regretted.

Questions from members about the money are answered by the treasurer, in person where possible, and are welcome even when they are awkward, because a member who asks is a member who has read the accounts. A question the treasurer cannot answer on the spot is answered in writing within the week, and a question that turns out to have found a mistake is thanked for in the next report by name if the member agrees. The club has had three treasurers who took questions badly and none of them lasted, which is the lesson.

The budget for the year is set by the committee in February from the treasurer's draft, which starts from last year's actuals and changes only what there is a reason to change. It is one page. Each line

has an owner, and the owner is the person the treasurer asks when the line goes over, which happens, and is not a disgrace if it is explained at the meeting and minuted there.

Spending against the budget is reported at every meeting as a simple pair of columns, budget and actual, with the difference and a word where the difference is more than a tenth. Members of the committee are asked to read the sheet before the meeting; the ones who do ask better questions, and the treasurer's job is easier for it, and shorter.

A note on the coffee tin. It is not club money, it is not accounted for, and it is not the treasurer's problem, however often somebody suggests that it should be.

The club has no debts and borrows nothing, by long habit rather than by rule, and a proposal to borrow for a boat or a building would need a general meeting and would get a long discussion. The habit has kept the club through two recessions and a flood, and the treasurer who breaks it should be sure of the reason and ready to explain it more than once, to the members, in writing.

Charity status was looked at in 2011 and declined, because the obligations outweighed the benefit for a club of this size, and the papers from that decision are in the deed box for the next committee that wonders. Gift Aid is available without it, through the community amateur sports club scheme, and that is what the club uses, and has used since then.

The accounts, the budget, the reserve policy and these notes are on the shared drive where any member can read them, and any member who asks the treasurer a question about them is answered within the week, in writing if the question was in writing. A club whose money is visible is a club whose treasurer is trusted, and the trust is worth the time.

The bar licence is held by the club and named to the chair, is renewed every year in September through the council, and its conditions -- hours, the age rule, the sign by the door -- are the committee's to enforce and the bar rota's to follow. A breach is the committee's problem before it is the council's, and the committee has once had to close the bar for a month to make that point to a rota that had stopped taking it seriously. The licence and the council's letters live in the deed box with the lease.

The launch and the trailer are the two things the club owns that can hurt somebody on a public road or a public waterway, and both are insured, inspected and driven only by the members named on the list by the boathouse door. The launch's fuel is bought on the club card by the captain and logged against the engine hours; the trailer's tyres and lights are checked before every away regatta by whoever is towing, and the check is signed for on the trailer sheet. Neither is lent to another club without the committee's agreement.

Lastly, these notes are revised at each handover by the outgoing treasurer, with the incoming one, and each version is dated and kept in the deed box. Most of the rules here were paid for by a lost receipt, a surprised examiner or a boat that was insured for a year after it was sold, and the notes are shorter than that list.